



Vancouver School of Economics Undergraduate Society

VSEUS Weekly Economics Gazette Newsletter

Prepared by: Sebastian Contreras & Goli Eshtiaghi, Research Analysts

Date: October 31, Friday

Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Market Overview:

This week, major technology companies such as Apple (AAPL + 4.34%), Amazon (AMZN - 0.15%), and Meta (META - 9.63%) reported earnings, lifting the **S&P 500 by 0.48%**. Corporate performance was broadly strong—especially within the technology sector, which dominated the week's narrative. Additionally, the **Bank of Canada cut interest rates** to help stimulate the Canadian economy amid persistent structural challenges such as underinvestment and tightening trade conditions as the U.S. adopts more protectionist policies.



Article 1: Alphabet Sales Beat Estimates on Google Cloud Unit Growth

Author, Source & Date Published: Matt Day, October 30, 2025

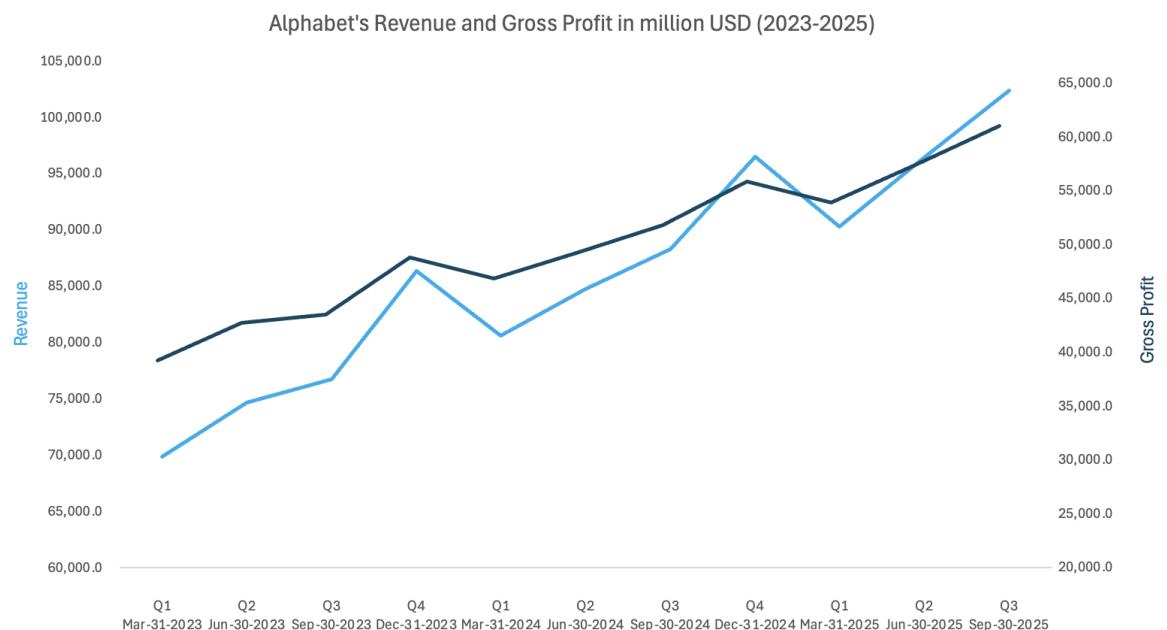
Link: [Bloomberg Article](#)

Summary:

Google's Cloud services revenues increased 34% to \$15.2 billion.

Key Takeaways:

- **Google is structured around two major businesses**, Google Services and Google Cloud. Google Services include Search, YouTube, Android, Chrome, Maps, the Play Store, and hardware such as the Pixel phone brand. This branch primarily earns profits through advertising. Clients pay Google for user interactions, ad impressions, and engagement across platforms such as YouTube. On the other hand, we have the most innovative branch, Google Cloud. It offers computing services and storage for enterprises or governments to help them build a global infrastructure, analytics leveraging the capacity of AI.



Source: Capital IQ Financials, Alphabet Inc. (NasdaqGS:GOOGL)



Vancouver School of Economics Undergraduate Society

- This increase in Google Cloud revenue is significant because it shows **investors that capital expenditures in AI are already generating growth**, even at a relatively early stage. One of the questions keeping investors awake at night is whether AI investments are truly profitable. While that question remains open, Google's performance in its cloud division reinforces investor confidence that future revenue growth is sustainable.
- During this summer, Google was being questioned by investors if they were going to be able to sustain their revenues, considering the emergence of chatbots like ChatGPT. This is the confirmation that Google has been able to maintain their ad revenues, which have been able to increase their margin on the basis of better marketing technology.

Educational Angle:

Students should try to understand what makes a stock attractive, like a significant internal change in their business model or management. The investors could start looking deeper into stocks that have a large (Return to Equity - Cost of Equity) spread.

Let's examine a vital profitability filter, Return on Equity vs Cost of Equity spread.

- **Return on Equity:** $(Income) / (Average\ Shareholders'\ Equity)$
- **Cost of Equity:** required return that investors expect. This can be approximated by the CAPM model, which is based on historical performance.

A large spread indicates that the company is efficiently using invested capital and generating returns for shareholders that exceed market expectations. This means that the company is able to beat expectations and produce a positive price momentum for the stock. The market will mostly pay a price premium for the company's ability to deliver higher shareholder value. However, further analysis on the company's future revenues is required to determine if the stock is a good investment.

This analysis requires a bit of Excel calculations, as we need to calculate the historical beta for the stock, historical performance for the stock and collect the risk free rate.



RStudio tips:

What is long vs. wide data format?

When downloading data from numerous sources such as StatCan, you'll often find that the table is in wide format. This is human-readable and easy to comprehend when we're working with the data directly. The table below is an example of wide format:

estimates	q1_2004	q2_2004	q3_2004	q4_2004	q1_2005
Household final consumption expenditure	0.719	0.268	0.496	0.428	0.738
General governments final consumption expenditure	0.129	-0.036	0.159	0.104	-0.104
Gross fixed capital formation	0.477	0.328	0.303	0.356	0.570
Investment in inventories	-0.313	-0.143	1.282	0.520	-0.125
Exports of goods and services	-0.036	1.735	-0.127	-0.362	0.359

But when we're using softwares like RStudio and working with long time series, a long format is more machine-friendly and easier to use. The long format will make it so that **each row represents a single observation and any value associated with it**. You can see this below. It makes it much easier to follow along and track variables to time.

Component	Quarter	Contribution
Household consumption	q1_2004	0.719

Step by Step

1. Download GDP, CPI or any series that you're interested in learning more about.
2. Import the file on Rstudio (you may be using Jupyter Lab, it will work the same)
3. Assign your downloaded table to a dataframe and name it (e.g. `df <- "gdp.csv"`)
4. Follow the below code to transform it.

```
#make long
library(tidyr)
df_long <- df %>%
  pivot_longer(
    cols = -Component,
    names_to = "Quarter",
    values_to = "Contribution")
head(df)
```

5. You may need some extra cleaning up before you get to this step. Don't get frustrated, YouTube has every tutorial you could possibly need to make it happen! **Remember: RStudio is a hands-on skill, you learn it by doing!**



Vancouver School of Economics Undergraduate Society

Article 2: Bank of Canada cuts policy rate by another 25 basis points : Monetary Policy Report, October 29th, 2025

Link: [MPR - October 2025](#)

Summary

The structural shift in US-Canada relationships is becoming increasingly evident in lower business investments and exports revenue. Canadian GDP growth is on a lower trajectory than expected due to tariffs.

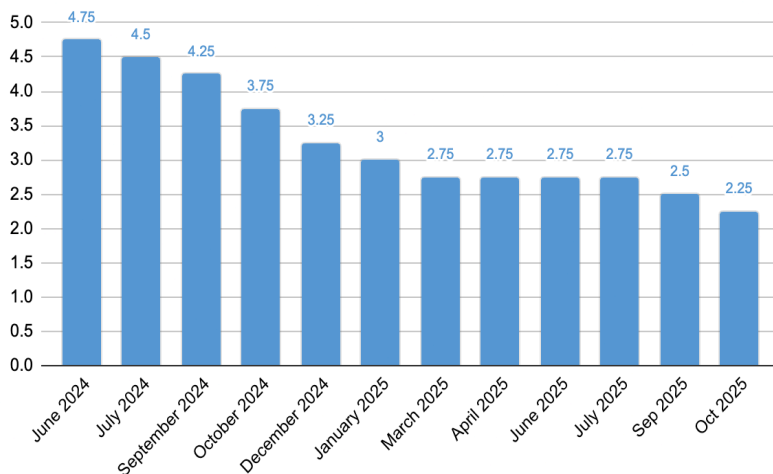
Key Takeaways

The disruptive effect of tariffs is most apparent and impactful with business investment and exports. **Growth will be mainly driven by households and government spending.** Economic growth will nevertheless be slower and take time to recover from tariffs – fiscal budget is going to come out soon.

The labour market is soft and employment continues to weaken, especially in sectors more exposed to trade shocks. According to Tiff Mackelm, the lower population growth due to decreased immigration may keep unemployment lower than anticipated but weak employment growth will persist. wage growth is lower

Core inflation measures signal stability in prices even though there are opposite forces acting on consumer price index (CPI). This expected trajectory is aligned with Bank of Canada's inflation targets near the 2% mark, suggesting **further cuts are unlikely.**

Bank of Canada Policy Rates. Source: BoC, Author's Visualizations



*The Bank of Canada considers tariffs to be a **structural shift that monetary policy alone cannot combat.** It would be up to the government to help businesses adjust to the new circumstances and ramp up investment.*

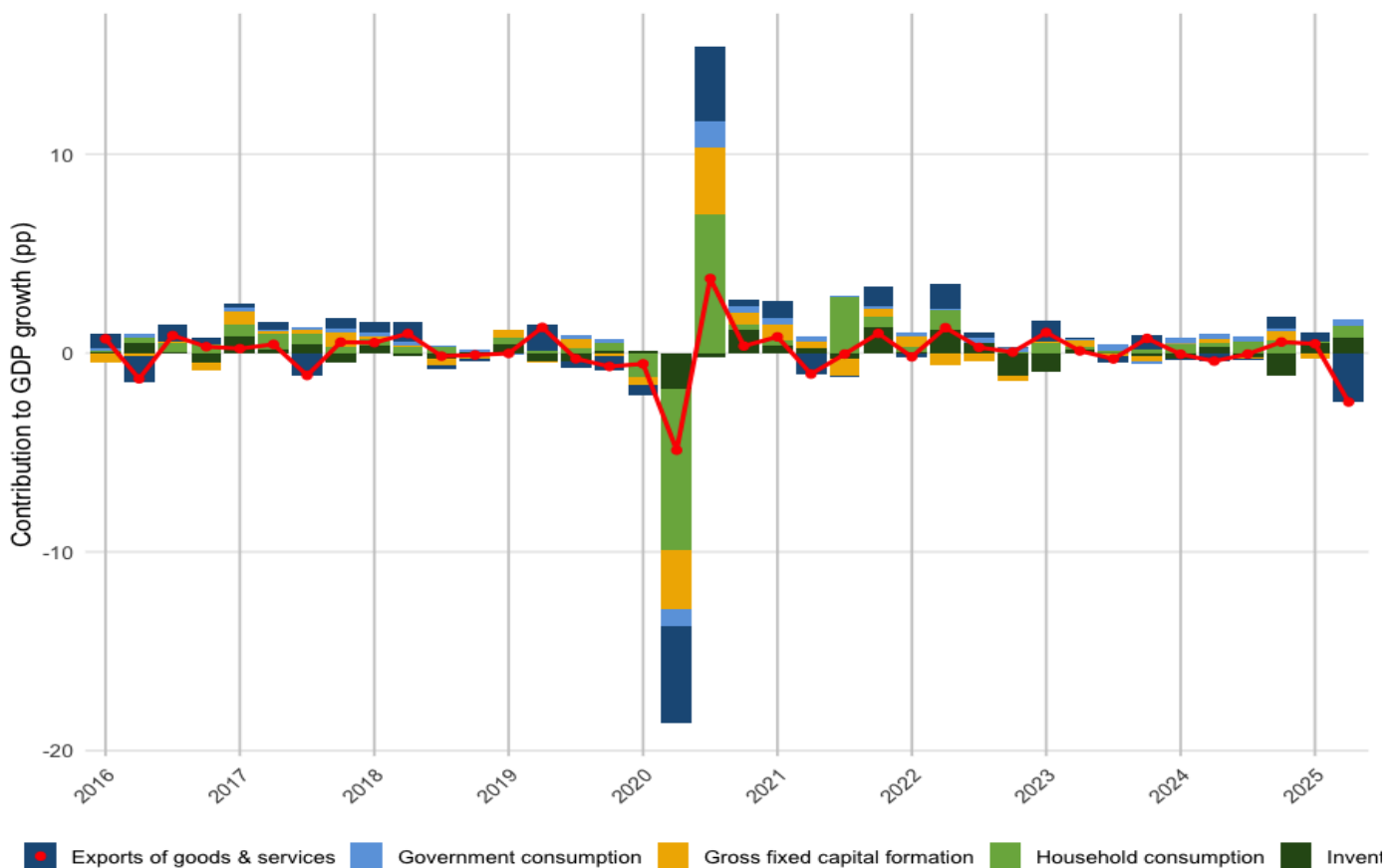


Educational Angle

Why is monetary policy not enough?

Monetary policy can work wonders when the economy is experiencing cyclical shocks. But cannot be as effective when the underlying forces acting on the economy are structural in nature. The graph below is following a beloved (or dreaded depending on how you and your macro prof got along!) equation:

$$GDP = C + I + G + NX$$



Source: StatCan, Author's Visualization

What you're looking at is each component's contribution to GDP growth. As expected, the pandemic brings about huge outliers but the movement is steady and cyclical before and after that point (until very recently). The red line is following Canadian exports over time. We can see that there are some **cyclical ups and downs that can be**

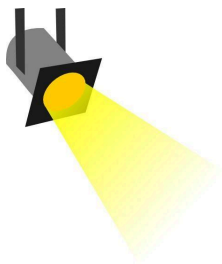


Vancouver School of Economics Undergraduate Society

explained by exchange rates, demand variations and oscillations in the cost of production and manufacturing.

Now let's zoom in on the last four quarters. The share of GDP growth coming from exports is falling rapidly and has hit a new low since 2020. There are more than cyclical forces at work here. As the US becomes more protectionist in its trade policies, the Canadian-US partnership that has stood strong for decades begins to deteriorate. Currently **we see its impacts in the steel, aluminum and auto industries** that are most exposed to the tariffs; but the effects will trickle down to the economy as business investment weakens and manufacturers try to navigate and acclimate to the new conditions. Employment in these industries is already producing weaker numbers than others, and may continue on its set path until large-scale adjustments are underway.

Monetary policy targets consumer prices and inflation. **When structural forces of this scale hit the economy either due to tariff shocks or AI implementation, there is little left for the central bank to do.** Our strategy for these changes must be more long-term and incorporate new trade relationships, incentives for domestic and foreign investment as well as industrial support. This is not to say that monetary policy is not important, but that it must be accompanied by more concrete plans to really lift the economy. **The fiscal budget announcement on November 4th** may give us more insight into what that may look like.



Career Spotlight

Collected data from StatCan? You can be part of the team that provides it too. StatCan offers a range of co-op and internship opportunities to students and recent grads who are trained in economics and have an interest in data collection, analysis, and provision. You would

1. Help prepare analytical material,
2. Identify key trends,
3. Receive training in survey skills and data interpretation,
4. Build the dataset that, alas, you never found!

Positions are open to all those who reside in Canada. Find more on [StatCan Website](#).